

DTB Group: 3Q21 Earnings Note

DTB group 3Q21 EPS edged up 20.00% to KES 17.28 higher than our expectations of KES15.65. PAT edged up 20.10% y/y to **KES 5.20Bn** driven by a 3.03% y/y increase in Total operating income to **KES 19.52Bn** supported by interest income from Government securities. Customer deposits grew 12.35% (better than our forecast of a flat growth) to **KES 323.74Bn** while the loan book remaining flat at **KES 205.55Bn** (in line with our expectation of a flat growth).

- **Net Interest Income grows faster than Non funded Income:** Net interest income growth of 5.89% was better than our expectations having grown to **KES 14.73Bn** mainly driven by income from government papers. Non-funded income decreased by 4.87% (better than our expectations of a 3.2% decrease) to **KES 4.79Bn** leading the revenue mix to shift to 75:25 for NII:NFI from 73:27 in 3Q20. Net interest margin (NIM) declined to 5.28% y/y from 5.50%, cost of funds decreased marginally to 3.00% while the yield on assets decreasing to 8.90%.

- **Reduced Operating expenses improve efficiency:** The CTI ratio improved to 46.34% mainly on the back of enhanced digital transactions. The CTI reduction was occasioned by a slower growth in Total Operating Expenses (-2.03% y/y to **KES 12.11Bn**) compared to a 3.03% growth in Total Operating Income. Against the industry trend the Loan loss provision increased 6.04% y/y to **KES 3.07Bn** (+32.61% q/q) indicating a perception of an increased lending risk.

- **Asset quality concerns persists:** Gross NPLs increased by 29.87% y/y to **KES 25.72Bn**. NPL ratio increased by 286 bps to 11.54% from 8.68% in 3Q20 below the current industry average of 13.60%. Consequently, the NPL Coverage worsened to 41.29% from 62.47% in 3Q20. Improving economic conditions have created a better operating environment and therefore we expect the bank's asset quality to continue improving in the coming quarters.

Outlook

The bank's results were driven by increased Interest income from government securities supported by a decline in operating expenses. We observed the improvement in efficiency which is positive and we expect the CTI ratio to continue declining due to the use of digital channels and internal cost rationalization. We noted with concern the flat growth in the loan book signaling a restraint to lending after NPLs increased. We believe the recovering economy will provide an improvement in the lending environment .

26th November 2021

Current price: KES 56.25

Target price: KES 79.00

Upside: 40.44%

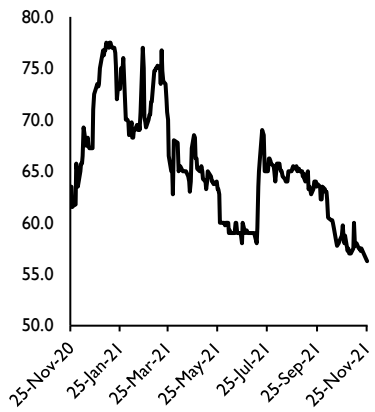
52 Week High: KES 56.25

52 Week Low: KES 77.50

YTD Performance: -25.00%

EPS (3Q21): 17.28

DTB-K



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Table 1 : Financial Statement Summary

Income Statement (KES Millions)	3Q20	FY20	1H21	3Q21	q/q % Change	y/y % Change
Interest Income	23,699	31,090	16,703	25,125	50.43%	6.02%
Interest Expense	9,788	13,010	6,882	10,396	51.06%	6.21%
Net Interest Income	13,910	18,079	9,821	14,730	49.98%	5.89%
Non Interest Income	5,035	6,122	3,324	4,790	44.08%	(4.87%)
Total Operating Income	18,945	24,202	13,145	19,519	48.49%	3.03%
Loan Loss Provision	2,890	7,324	2,311	3,065	32.61%	6.04%
Operating expenses	12,360	19,669	8,267	12,109	46.48%	(2.03%)
Profit Before Tax	6,586	4,533	4,879	7,410	51.89%	12.52%
Profit For the period	4,326	3,529	3,150	5,195	64.91%	20.10%
Basic and Diluted EPS	14.40	11.61	10.48	17.28	64.89%	20.00%

Balance Sheet (KES Millions)	3Q20	FY20	1H21	3Q21	q/q % Change	y/y% Change
Cash Balances	22,397	25,983	29,357	32,593	11.02%	45.52%
Government Securities	134,082	148,378	157,585	157,265	(0.20%)	17.29%
Net Loans	205,605	208,593	204,326	205,553	0.60%	(0.03%)
Total Assets	393,958	425,054	429,578	434,392	1.12%	10.26%
Customer Deposits	288,158	298,167	313,804	323,737	3.17%	12.35%
Total Liabilities	324,877	356,740	357,447	359,895	0.68%	10.78%
Total Shareholder Equity	69,081	68,314	72,132	74,498	3.28%	7.84%

Key Ratios	3Q20	FY20	1H21	3Q21	y/y % points
Loan to Deposit	71.35%	69.96%	65.11%	63.49%	(7.86%)
NPL Ratios	8.68%	10.37%	11.20%	11.54%	2.86%
NPL Coverage	62.47%	44.61%	38.75%	41.29%	(21.18%)
NFI to Total Income	26.58%	25.30%	25.29%	24.54%	(2.04%)
NII to Total Income	73.42%	74.70%	74.71%	75.46%	2.04%
Cost to Income	49.98%	51.00%	45.31%	46.34%	(3.65%)
ROE	9.21%	5.84%	6.42%	6.72%	(2.49%)
ROA	1.44%	0.87%	0.99%	1.06%	(0.38%)
Liquidity Ratio	53.60%	56.00%	60.30%	60.10%	6.50%
Core Capital/TRWA	19.60%	21.00%	21.70%	20.90%	1.30%
Total Capital/ TRWA	21.10%	22.70%	23.20%	22.20%	1.10%

Source: ABSA, AIB-AXYS



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